



United Dominions Trust Act 1975

CHAPTER x

ARRANGEMENT OF SECTIONS

Section

1. Short title.
2. Interpretation.
3. Appointed day.
4. Transfer of banking business.
5. Transfers of interests in land.
6. Saving of contracts, etc.
7. Banking business.
8. Rights under foreign securities.
9. Actions, etc., not to abate.
10. Evidence and books and documents.
11. Application of Bankers' Books Evidence Act 1879.
12. Application of enactments and documents.
13. No exemption from enactments concerning banking companies.
14. Application to Northern Ireland.
15. Application to Scotland.
16. Costs of Act.

SCHEDULE—The banking business.

ELIZABETH II



1975 CHAPTER x

An Act to provide for the transfer to United Dominions Trust Limited of the banking business of UDT Securities Limited and UDT Finance Limited; and for other purposes. [22nd May 1975]

WHEREAS United Dominions Trust Limited (hereinafter referred to as "UDT") is a company limited by shares within the meaning of the Companies Act 1948: 1948 c. .38

And whereas UDT Securities Limited and UDT Finance Limited are also companies limited by shares within the meaning of the Companies Act 1948 and are wholly-owned subsidiaries of UDT within the meaning of section 150 (4) of that Act:

And whereas the principal business of UDT and of each of the other two said companies is the business of banking carried on in the United Kingdom and elsewhere and it is expedient that the said business of those two companies should be transferred to UDT as provided in this Act:

And whereas it is expedient that the transfer of the said business should be effected economically and without interference with its conduct and continuity:

And whereas it is expedient that such transfer should be effected as provided in this Act and that the other provisions contained in this Act should be enacted:

And whereas the purposes of this Act cannot be effected without the authority of Parliament:

May it therefore please Your Majesty that it may be enacted, and be it enacted, by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

Short title. 1. This Act may be cited as the United Dominions Trust Act 1975.

Interpretation. 2.—(1) In this Act, unless the subject or context otherwise requires—

“the appointed day” means such day as may be appointed under section 3 (Appointed day) of this Act;

“the banking business” means the assets, rights, liabilities, obligations and duties of a transferring bank specified in the Schedule to this Act as existing immediately before the appointed day;

“customer” means any person who has a banking account or other dealing, transaction or arrangement with UDT or a transferring bank (as the case may be);

“enactment” includes an enactment in this Act or in any general or local Act and any order, byelaw, rule or regulation made under any Act;

“existing” means existing or (as the case may be) in force immediately before the appointed day;

“security” means a mortgage or charge (whether legal or equitable), debenture, bill of exchange, promissory note, trust receipt, warehouse warrant, guarantee, hypothecation, undertaking, indemnity, guarantee, lien or pledge (whether actual or constructive) or other document or arrangement for securing the payment of a debt or the discharge of a liability, in either case whether present or future, actual or contingent;

“the transferring banks” means UDT Securities Limited and UDT Finance Limited and “transferring bank” shall be construed accordingly;

“UDT” means United Dominions Trust Limited.

(2) Any reference in this Act to any enactment shall be construed as a reference to that enactment as applied, extended or amended by or by virtue of any subsequent enactment including any provisions of this Act.

3.—(1) The directors of UDT may appoint a day for the Appointed purposes of this Act. day.

(2) Not less than fourteen days before the day so appointed UDT shall publish in the London Gazette a notice stating the day appointed for the purposes of this Act.

4.—(1) On the appointed day the banking business of each transferring bank shall by virtue of this Act be transferred to and vest in UDT. Transfer of banking business.

(2) A copy of this Act printed by the Queen's Printer shall on and after the appointed day be conclusive evidence for all purposes and in all courts and proceedings of the transfer of the banking business to and of its vesting in UDT; and any such copy of this Act shall, in relation to any registered securities (within the meaning of the Stock Transfer Act 1963) which on the appointed day are fully paid up and comprised in the banking business and transferred to or vested in UDT by virtue of this Act, have effect for the purposes of the said Act of 1963 as if it were a duly executed stock transfer in respect of the transfer of such securities from the transferring bank to UDT. 1963 c. 18.

(3) Subject to the provisions of section 8 (Rights under foreign securities) of this Act, if any part of the banking business cannot be vested in UDT by virtue of this Act because transfers of that part are not governed by the law of a part of the United Kingdom, a transferring bank shall so soon as is practicable after the appointed day, if UDT so require, take all steps requisite for the effectual transfer thereof to UDT and pending such transfer shall hold the same in trust for UDT.

5. For the avoidance of doubt it is hereby declared that the transfer of an interest in land under and by virtue of this Act shall not— Transfers of interests in land.

(a) constitute a purchase or creation of that interest for the purposes of section 30 (2) of the Landlord and Tenant Act 1954; or

1954 c. 56.

(b) constitute an assignment, transfer, devolution, parting with possession or other disposition of that interest for the purposes of any provision relating to assignment, transfer, devolution, parting with possession or other disposition contained in any instrument concerning that interest; or

- (c) operate so as to merge any leasehold interest in the reversion which is expectant thereon.

Saving of
contracts,
etc.

6.—(1) Subject to the provisions of this Act, all contracts, agreements, conveyances, deeds, leases, licences, guarantees, bonds, indemnities, instructions and other instruments or undertakings entered into by or made with or addressed to a transferring bank (whether alone or with any other person and whether as principal or agent) with reference (either wholly or in part) to the banking business before and in force on the appointed day shall on and after that day to the extent that they were previously binding and enforceable against or in favour of the transferring bank, be binding and of full force and effect in every respect against or in favour of UDT as fully and effectually as if, instead of the transferring bank, UDT had been a party thereto or bound thereby or entitled to the benefit thereof:

Provided that no director, secretary or auditor of a transferring bank shall by virtue only of this Act become a director, secretary or auditor (as the case may be) of UDT.

(2) Every existing contract (whether in writing or not) to which a transferring bank was a party and which relates, either wholly or in part, to the banking business, shall as from the appointed day, be construed and have effect as if—

- (a) UDT had been a party thereto instead of the transferring bank;
- (b) for any reference (however worded and whether express or implied) to the transferring bank there were substituted, as respects anything falling to be done on or after the appointed day in relation to the banking business, a reference to UDT; and
- (c) any reference (however worded and whether express or implied) to the directors or to any director, officer, clerk or servant of the transferring bank were, as respects anything falling to be done on or after the appointed day in relation to the banking business, a reference (as the case may require) to the directors of UDT or to such director, officer, clerk or servant of UDT as UDT may appoint or, in default of appointment, to the director, officer, clerk or servant of UDT who most nearly corresponds to the first-mentioned director, officer, clerk or servant.

(3) Every mandate or other instruction in force on the appointed day for the payment of any interest, dividends or other periodical sums to or by a transferring bank in connection with

the banking business shall as from that day have effect unless and until revoked as a mandate or instruction for the like payment to or by UDT.

7. Without prejudice to the generality of the foregoing provisions of this Act, the following provisions shall have effect with regard to the banking business:—

- (a) Any account of a customer with a transferring bank shall on the appointed day be transferred to UDT and shall on and after that day become an account of the customer with UDT with the same rights and subject to the same obligations and incidents (including rights of set-off) as would have been applicable thereto as theretofore and so that any instruction, order, direction, mandate, power of attorney, undertaking, consent or authority (whether in writing or not) given by that customer in relation to the account and subsisting on or given after the appointed day shall, unless and until revoked or cancelled, apply and have effect in relation to such account after its transfer to UDT:
- (b) Any security held by a transferring bank as security for the payment of debts or liabilities of any person shall be transferred or deemed to be transferred to UDT on the appointed day and shall be held by and be available to UDT as security for the payment to UDT of such debts and liabilities; and where the security extends to future advances to or to future liabilities of such person, the said security shall as from that day be held by and be available to UDT as security for future advances to the said person by, and future liabilities of the said person to, UDT to the same extent to which future advances by or liabilities to the transferring bank were secured thereby immediately before that day:
- (c) UDT shall, in relation to any security transferred or deemed to have been transferred to it in accordance with or by virtue of the provisions of this Act and the moneys thereby secured in accordance with those provisions, be entitled to the same rights and priorities and subject to the same obligations and incidents as the transferring bank would have been entitled and subject to if the same had continued to be held by the transferring bank:
- (d) Any negotiable instrument or order for payment of money, whether drawn, given, accepted or endorsed before, on or after the appointed day, which is expressed to be drawn on or given to, or accepted or endorsed by, a transferring bank, or payable at any place of business of a transferring bank, shall on and from the appointed

day have the same effect as if it had been drawn on, or given to, or accepted or endorsed by UDT, or payable at the same place of business of UDT:

- (e) The custody of any document, goods or other property held by a transferring bank as bailee for any other person shall be transferred or deemed to be transferred to UDT on the appointed day and the rights and obligations of the transferring bank under any contract of bailment relating to such document, goods or property shall be transferred or deemed to be transferred on that day to UDT.

Rights under
foreign
securities.

8. All rights and powers vested in or exercisable by a transferring bank immediately before the appointed day in respect of the banking business under any security not governed by the law of a part of the United Kingdom shall from and after the appointed day be deemed to be vested in or exercisable by a transferring bank as trustee for UDT.

Actions, etc.,
not to abate.

9.—(1) Subject to the provisions of this Act, any action, arbitration or proceeding and any cause of action, arbitration or proceeding which shall on the appointed day be pending or existing by, against or in favour of a transferring bank in relation to the banking business shall not abate or be discontinued or be prejudicially affected in any way by reason of the provisions of this Act, but the same may only be prosecuted, continued and enforced by, against or in favour of UDT as and when it might have been prosecuted, continued and enforced by, against or in favour of the transferring bank if this Act had not been passed.

(2) Subject to the provisions of this Act, any judgment or award obtained by or against a transferring bank and not fully satisfied before the appointed day shall only be enforceable by or against UDT:

Provided that in the case of any action, arbitration or proceeding or any cause of action, arbitration or proceeding pending or existing on the appointed day in favour of a transferring bank or existing after the appointed day in favour of UDT the judgment or award wherein is or could be enforceable outside the United Kingdom, the transferring bank may, at the request of UDT, continue or, as the case may be, commence such action, arbitration or proceeding in its own name on behalf of UDT and may enforce any such judgment or award in the same manner and to the same extent as if this Act had not been passed.

(3) Nothing in this Act shall terminate or prejudicially affect the appointment of any receiver or of any receiver and manager.

10.—(1) Subject to the provisions of this Act, on and after the appointed day all admissions, books and other documents in relation to the banking business which would before the appointed day have been admissible in evidence in respect of any matter for or against a transferring bank shall be admissible in evidence in respect of the same matter for or against UDT. Evidence and books and documents.

(2) In this section “ documents ” has the same meaning as in section 10 of the Civil Evidence Act 1968. 1968 c. 64.

11.—(1) Notwithstanding the transfer of the banking business to UDT under and in the terms of this Act, the provisions of the Bankers’ Books Evidence Act 1879 shall continue to apply with respect to the books of a transferring bank which are transferred to UDT by virtue of this Act and to entries made in such books before the appointed day. Application of Bankers’ Books Evidence Act 1879. 1879 c. 11.

(2) For the purposes of section 4 of the said Act of 1879, any such books so transferred to UDT shall be deemed to have been the ordinary books of UDT at the time of the making of any entry therein which purports to have been made before the appointed day and any such entry shall be deemed to have been made in the usual and ordinary course of business.

(3) For the purposes of this section, “ books ” includes ledgers, day books, cash books, account books and all other books and records (including computer records) used in the banking business before the appointed day.

12. Subject to the provisions of this Act, where—

- (a) any enactment other than an enactment in this Act; or
- (b) any document whensoever made or executed;

contains in relation to the banking business any reference express or implied to a transferring bank such reference shall, on and after the appointed day and except where the context otherwise requires, be read, construed and have effect as a reference to UDT. Application of enactments and documents.

13. Nothing in this Act shall exempt UDT from the provisions of any enactment relating to companies carrying on the business of banking. No exemption from enactments concerning banking companies.

14.—(1) It is hereby declared that this Act extends to Northern Ireland. Application to Northern Ireland.

(2) In the application of this Act to Northern Ireland—

- (a) the expression “ Act ” shall include an Act of the Parliament of Northern Ireland and a Measure of the Northern Ireland Assembly;

- 1968 c. 64.
1971 c. 36 (N.I.).
- (b) in section 10 (2) for the reference to section 10 of the Civil Evidence Act 1968 there shall be substituted a reference to section 6 of the Civil Evidence Act (Northern Ireland) 1971;
- 1963 c. 18.
1963 c. 24 (N.I.).
- (c) in section 4 (2) for the reference to the Stock Transfer Act 1963 there shall be substituted a reference to the Stock Transfer Act (Northern Ireland) 1963;
- 1954 c. 56.
1964 c. 36 (N.I.).
- (d) in section 5 for the reference to section 30 (2) of the Landlord and Tenant Act 1954 there shall be substituted a reference to section 10 (3) of the Business Tenancies Act (Northern Ireland) 1964.

Application
to Scotland.

15. This Act shall extend to Scotland and in the application thereof to Scotland the following provisions shall have effect:—

(a) In the construction of this Act—

- 1968 c. 70.
- (i) in section 10 (2) for the reference to section 10 of the Civil Evidence Act 1968 there shall be substituted a reference to section 17 of the Law Reform (Miscellaneous Provisions) (Scotland) Act 1968;

(ii) the expression “ mortgage ” includes a floating charge or any instrument containing a floating charge, a standard security, an assignation or disposition *ex facie* absolute and any agreement qualifying the same, a bond and disposition or assignation in security, a cash credit bond and disposition or assignation in security, and assignation in security:

- (b) To enable UDT to which by virtue of this Act there is transferred any property heritably vested in a transferring bank redeemably or irredeemably to complete a title if thought fit to such property by notice of title or otherwise or to deduce title, this Act shall be deemed to be and may be used as a general disposition, conveyance or assignation, as the case may be, of such property in favour of UDT:
- (c) For the avoidance of doubt it is hereby declared that the transfer from a transferring bank of an interest in land by virtue of this Act shall not operate so as to merge the rights of landlord and tenant in any property held on lease or to extinguish the rights of either landlord or tenant in any such property.

Costs of Act.

16. All the costs, charges and expenses preliminary to and of and incidental to the preparing, applying for, obtaining and passing of this Act or otherwise in relation thereto shall be paid by UDT.

SCHEDULE

THE BANKING BUSINESS

Section 2 (1).

1. The goodwill of the transferring bank including the right to adopt and use its existing name.
2. All debit and credit balances on all banking accounts maintained with the transferring bank.
3. All other assets, property, rights and powers wheresoever situate and all liabilities, provisions and obligations of the transferring bank except the share capital and reserves of the transferring bank.

PRINTED IN ENGLAND BY OYEZ PRESS LIMITED
FOR HAROLD GLOVER

Controller of Her Majesty's Stationery Office and Queen's Printer of Acts of Parliament

LONDON: PUBLISHED BY HER MAJESTY'S STATIONERY OFFICE

20p net

ISBN 0 10 511075 2